SMTP AUTH Basic authentication retirement in Exchange Online

What Microsoft is retiring for Client Submission (SMTP AUTH) Basic authentication, how to find every sender still using it, and which alternatives to use before the default disable at end of December 2026 — OAuth SMTP AUTH, Graph sendMail, connector relay, Direct Send caveats, High Volume Email, and third-party relay. Documentation verified; not lab-tested.

8 phases | 15 steps | Tick each item when its "done when" criterion is true

Phase 1 Confirm what is retiring — and what is not

about 30–60 minutes

- [ ] **1.1 Lock the current timeline from the Exchange Team post**
  Change record cites the 27 Jan 2026 update (revised 29 Jan 2026) with the four milestones below
- [ ] **1.2 Separate SMTP AUTH Basic from everything that still works**
  Decision notes list at least: OAuth SMTP AUTH, Graph sendMail, SMTP relay connector, Direct Send, HVE, third-party relay

Phase 2 Find every sender still using Basic SMTP AUTH

about Half a day to several days

- [ ] **2.1 Export the SMTP AUTH clients report**
  CSV from Reports → Mail flow → SMTP AUTH clients covers up to 90 days; Authentication Protocol column reviewed for Basic Auth vs Modern Auth
- [ ] **2.2 Cross-check Entra sign-in logs and message trace**
  Entra sign-in filter documents SMTP AUTH Basic activity; message trace samples confirm From/IP for top senders
- [ ] **2.3 Record SMTP AUTH enablement state**
  Document org SmtpClientAuthenticationDisabled and every mailbox with an explicit override

Phase 3 Pick a path with the decision table

about 1–2 hours workshop

- [ ] **3.1 Map each sender to one supported path**
  Inventory rows each have: path, owner, target cutover week, rollback

Phase 4 Implement SMTP AUTH with OAuth 2.0

about Half a day to 2 days per app family

- [ ] **4.1 Register the app and grant Exchange Online SMTP.SendAsApp**
  Entra app has Office 365 Exchange Online application permission SMTP.SendAsApp with admin consent; token audience outlook.office365.com
- [ ] **4.2 Register the Exchange service principal and mailbox access**
  New-ServicePrincipal succeeded; Add-MailboxPermission grants the service principal access to the sending mailbox; SMTP AUTH enabled on that mailbox

Phase 5 Send with Microsoft Graph sendMail (scoped)

about Half a day to 2 days

- [ ] **5.1 Use Application Mail.Send with Exchange Application RBAC**
  App can POST /users/{id}/sendMail only for mailboxes in the assigned scope; tenant-wide send is not granted

Phase 6 Relay, Direct Send, HVE, ACS and third-party options

about Half a day to several days depending on path

- [ ] **6.1 SMTP relay with an inbound connector (certificate or static IP)**
  Connector On; device sends to tenant MX:25; SPF includes the sending IP or cert domain; external test recipient receives mail
- [ ] **6.2 Treat Direct Send as transitional and control RejectDirectSend**
  If Direct Send is used: SPF/DKIM/DMARC documented; RejectDirectSend decision recorded; migration off Direct Send scheduled
- [ ] **6.3 High Volume Email for internal application mail (Worldwide)**
  HVE account Active with billing policy; device points at smtp.hve.mx.microsoft:587; test to internal recipient succeeds; external test correctly fails

- [ ] **6.4 ACS Email and third-party relay — choose with eyes open**
  Any ACS Email choice records the 30 Sep 2028 retirement; external bulk has an owner-approved provider

Phase 7 Best practices before the December 2026 default flip about Ongoing through December 2026

- [ ] **7.1 Shrink and monitor before you rely on re-enable**
  Org SMTP AUTH disabled with explicit mailbox allow-list; Conditional Access / authentication policies reviewed; alert on new Basic SMTP AUTH

Phase 8 Troubleshooting and rollback about As needed

- [ ] **8.1 Match the error to the path, then roll back narrowly**
  Runbook lists 550 5.7.30, 535 5.7.3, 550 5.7.68, connector/SPF failures and the matching fix or rollback

Owner	Change / ticket	Date completed

Original checklist by Tenant Recipes, an independent project not affiliated with Microsoft or any vendor. Every step, its actions, pitfalls and the official sources it was checked against are on https://tenantrecipes.com/guides/smtp-auth-basic-retirement.html. Time estimates are our own planning figures. Confirm against the linked sources and test in a pilot before production.